

Management Accounting — Nature, Purpose and Classification of Costs — PREVIEW

Course: CPA — Certified Public Accountant | **Level:** Intermediate Level 2

This is a free preview. It shows the exam-paper layout used throughout the full document, plus the introduction section.

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1. What is cost accounting?

Cost is the value of resources given up or sacrificed to achieve a specific objective — making a unit of product, running a department, or completing a job.

Cost accounting is the branch of accounting concerned with recording, classifying, and reporting cost information so that management can plan, control, and make decisions. Unlike financial accounting, which looks backward and reports to outsiders, cost accounting is built for insiders and looks both backward (what did it cost?) and forward (what should it cost?).

Four activities sit at the core of cost accounting, in any organisation — manufacturing or service, profit or non-profit:

- **Recording** — capturing and classifying cost data as it is incurred.
- **Ascertaining/estimating** — working out the cost of a specific product, service, job, or department.
- **Planning** — setting cost and profit targets, usually expressed as budgets.
- **Controlling** — comparing actual costs against the plan, investigating variances, and correcting what went wrong.

Sample of the practice examination (Question One of Five)

Note on format. The full paper includes a complete practice examination laid out the way a real KASNEB CPA paper is laid out — timed, five compulsory 20-mark questions — so you can rehearse the exact exam format before sitting the real thing. This is an original practice paper, **not a reproduction of any actual KASNEB past paper.**

CPA FOUNDATION LEVEL 2 — MANAGEMENT ACCOUNTING (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

- (a) Distinguish between "cost accounting" and "management accounting." (4 marks)
- (b) Explain FOUR objectives of cost accounting. (8 marks)
- (c) Outline FOUR factors that an organisation should consider before installing a cost accounting system. (8 marks)

(Total: 20 marks)

Questions Two, Three, Four and Five — plus the full marking guide with model answers to all five questions — are in the full version.

Unlock the full paper

The complete version includes the meaning and limitations of management accounting, the functions of a cost accountant, the scope of cost accounting, the differences between financial, cost and management accounting, all major cost classifications (by element, function, behaviour and controllability), a fully worked prime-cost/conversion-cost question, the complete five-question KASNEB-style practice examination with a full marking guide, and an exam technique and revision checklist.

Purchase the full paper to continue.